

Story 2: Flipping Discount Plumbing by Changing the Rules

After decades of running his pool and landscaping empire, Bob wanted a new challenge. He became a Certified Business Intermediary (CBI)—a broker who buys and sells businesses. But he quickly realized that the business brokerage world was a miserable landscape. Most businesses for sale were actively failing, and owners were just desperately trying to offload their nightmares onto naive buyers. However, Bob knew that a failing business in a strong industry could be a goldmine if the core operational flaw could be fixed. To find these hidden gems, Bob started studying the US Commerce Department's Standard Industrial Classification (SIC) codes, analyzing data to see exactly why top-tier companies were crushing their mediocre competitors. This led him to Discount Plumbing, a small, struggling operation in nearby Manteca. The 50-something owner wanted to sell, but the books looked terrible. Bob brought in a sharp financial analyst named Kyle, and together they identified the fatal flaw: Discount Plumbing was using an outdated hourly billing model. They were charging \$150 an hour. This meant customers were constantly watching the clock, haggling over the bill, and price-shopping for cheaper hourly rates. Meanwhile, the most successful plumbing empires in the country had switched to flat-rate pricing—charging a flat \$225 to unclog a drain, whether it took five minutes or three hours. The customer got peace of mind, and the plumbers were incentivized to work faster. Bob convinced the reluctant owner to let him buy a 75% stake in the company and completely overhaul the system. Bob and Kyle invested heavily in "Northstar Automation," a complex software system containing preset pricing for over 3,000 plumbing tasks. Each task included a built-in, flat commission for the plumber. The transition was an absolute bloodbath. Plumbers accustomed to milking the hourly clock hated the new accountability. Two dozen plumbers either quit in protest or were fired before Bob could assemble a crew that understood the vision. But once the new culture set in, the results were staggering. Because the plumbers were highly incentivized to work efficiently, the company's effective hourly rate skyrocketed from \$150 to \$375. The business transformed into a massive cash cow. Bored by the day-to-day operations once the puzzle was solved, Bob sold his shares, leaving Kyle to eventually buy out the founder and turn the once-failing shop into a multi-million-dollar plumbing empire.